

over a few dollars. There is limited need (limited demand) and too many providers (supply). The point of having a need-based premise *is to avoid the industry entirely*, or to get in it to solve a specific problem, not to change it after the fact. If your product isn't someone's knight, standing out from the crowd and differentiating, it stands to be commoditized.

GET YOUR EYES OFF THE COMPETITION'S ASS

Although my Internet service was for consumers, my paying customers were small-business owners. When you interact with hundreds of small-business owners on a daily basis, you get a keen insight into how they approach business. I mistakenly assumed that all business owners thought like I did, when their predisposition often was the opposite. I learned fast that *most business owners paid more attention to their competition than to their own business*. Instead of minding their own business, they had their noses into everything that everyone else was doing. When this happens, you neglect your own product and become reactive instead of proactive.

Are your eyes on your vehicle and the road ahead? Or are you rubbernecking at the cars all around you? Oh no! Excel Limousine dropped its hourly rate by five bucks! Mercy, call out the price police! Heavens! Godfrey Limousine is advertising its limousine as a 2009 model when it's a 2003 model! I'm calling my attorney! If your eyes are glued to the competition's butt, guess what? Your eyes aren't on the road ahead. If you're following, you aren't leading, and if you aren't leading, you're not innovating. If Company X does something and you react, you are being reactive, not proactive. Why aren't they following *your* lead? If your preoccupation is with every single thing your competition does, you're cheating your business and your customers.

HOW TO USE YOUR COMPETITION

Another "dead professor" moment: Forget about your competition 95% of the time. The other 5% should be used to exploit their weaknesses and differentiate your business. If you forget about your competition, you're forced to focus on *your* business, which is to innovate and win over the hearts and minds of your customers. And when you fill needs and your army of customers grows, something suddenly happens: *Everyone follows you*.

In my industry, I lead the pack. I innovated and everyone followed me. If I instituted a new feature, my competition would add the same thing months later. I introduced the lead generation revenue model, and it was copied dozens of times. My eyes weren't affixed to everyone else because I was preoccupied with my own success and the satisfaction of my customers.

On the rare occasions you peek in at your competition, do so for exploitation. Mine their weaknesses and differentiate your product. *Uncover what you should*